At the same time, Pakistan perceived SAARC as a potential vehicle for India to exert its regional dominance. As such, the agenda was watered down and relegated to less controversial issues. In the years that followed, differences between India and Pakistan ensured that regional institutionalism could not proceed very far or very quickly. [49]

Belated Liberalization: The Economy, 1971–91

During the latter years of the Cold War, India may have navigated the superpower rivalry through a closer relationship with Moscow and the fitful pursuit of a nuclear deterrent, managed rivalries with Pakistan and China, and intervened more in its near neighbourhood. But another legacy of this period was the degree to which its economy remained closed, even after many Asian economies had begun to open, integrate, and liberalize. In fact, just as Asian economies such as South Korea, Taiwan, and parts of Southeast Asia began to experience miracle growth, India took a turn to the left. During this period, India witnessed Indira Gandhi's populism, the Emergency (1975–77) when elections and civil liberties were suspended, and a fragile Janata Party-led government from 1977 to 1980. It was the 42nd Amendment to the Indian Constitution, introduced in 1976, which added the word 'socialist' to the preamble. [50]

The economic direction of the country during this period was the subject a good deal of domestic criticism, although not enough to shape the balance of opinion among Indian leaders. In the 1970s, the prominent economist Jagdish Bhagwati argued that India's mixed economy had failed both as socialism and as capitalism, growing too slowly and failing to reduce inequality. [51] Similarly, the legendary industrialist J.R.D. Tata believed that India had benefited from the mixed economy until the mid-1960s but that after that India had missed an opportunity to liberalize. He estimated that 'employment would have grown more quickly in all sectors; production would have increased considerably and shortages removed; and Government revenues too would have materially increased, which in turn could have been utilized for developmental programmes'. [52] Some of the